authorities, direct and indirect, can link their PAN and GST numbers to the USBID. Likewise, many other authorities, like the authorities under the Shops and Establishment Acts or the Factories Act, should also link their identifiers with the USBID of small businesses.

Such a system would be able to create a comprehensive database of small businesses and their needs and performance. Using the fintech revolution underway in the country, such databases and identity can be gainfully used to determine and meet their credit requirements, link their markets with production, and provide a whole host of other services.

Reconfiguring Government Support for Small Businesses

The total allocation in the 2020–21 Budget of the Central government for the MSME Ministry was around Rs 7500 crore. For 7 crore small businesses, this amounts to only Rs 1000 per small business. The Budget is spread over about forty schemes. Most programmes have tiny allocations and there is a lot of duplication in the mandate and interventions of various schemes. It is delivered through multiple agencies.

Crores of small businesses faced an existential crisis after the lockdown. However, the MSME Ministry could not assess what losses and misery small businesses suffered, how many simply shuttered forever and what these millions of businesses needed to survive and revive their businesses. The MSME Ministry or, for that matter, the government had no means to reach out to them.

The ability to understand small businesses and reach out to them would come with the Registrar of Unincorporated Small Businesses and the Authority of Small Businesses. Numerous programmes of the MSME Ministry and other ministries can be reorganized into two focused programmes to serve the MSME world better.

One, a registration and recognition grant can be provided to incentivize every small business to register and file its annual return with the Authority